REGULATORY GOVERNANCE AND INDEPENDENT REGULATORS

WHY A STATUTORY REGULATOR → TRILEMMA WITH PAIRED DESIGN → INDEPENDENCE SPECTRUM → HOW CAPTURE HAPPENS LAWFULLY → TWO DIRECTIONS OF FAILURE → SIX-TEST DESIGN CHECKLIST

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ◆ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artifacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00 WHY A STATUTORY REGULATOR IS CREATED

WHY A STATUTORY REGULATOR IS CREATED · TECHNICAL COMPLEXITY · GENERALIST DEPARTMENTS CANNOT SET OR POLICE DETAILED SECTOR RULES · INDIVIDUAL LICENSING AND TARIFF DECISIONS REMOVED FROM DAILY POLITICAL · CONSISTENT RULE-MAKING THAT INVESTORS AND USERS CAN PLAN AGAINST · THE SAME INSULATION CREATES AN ACCOUNTABILITY PROBLEM AND A · MUST REMEMBER · REGULATORY GOVERNANCE SETS RULES, LICENCES, STANDARDS, MONITORING

CORE CLAIM

- TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules
- INSULATION → individual licensing and tariff decisions removed from daily political direction

MECHANISM

- PREDICTABILITY → consistent rule-making that investors and users can plan against
- COST → the same insulation creates an accountability problem and a capture risk

CONSEQUENCE / LIMIT

- MUST REMEMBER: Regulatory governance sets rules, licences, standards, monitoring,...
- TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PREDICTABILITY → consistent rule-making that investors and users can plan against.

01

STAGE 01 TRILEMMA WITH PAIRED DESIGN FEATURES

TRILEMMA WITH PAIRED DESIGN FEATURES · FIXED-TERM APPOINTMENT · ANNUAL REPORT LAID BEFORE PARLIAMENT · FEE OR CESS FUNDING · AUDIT OF THE REGULATOR'S OWN ACCOUNTS · TECHNICAL COMPOSITION · POLICY DIRECTIONS IN SPECIFIED CIRCUMSTANCES · STATUTORY RULE-MAKING

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament	AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances	AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review
AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts	AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response	AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

CORE CLAIM

- AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament
- AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

MECHANISM

- AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances
- AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response

CONSEQUENCE / LIMIT

- AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review
- AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: statutory rule-making → ACCOUNTABILITY: consultation with a published response.

02

STAGE 02 INDEPENDENCE SPECTRUM

INDEPENDENCE SPECTRUM · LOW END · A MINISTRY-CONTROLLED DEPARTMENT · STRONG POLITICAL CONTROL, WEAK INSULATION · HIGH END · FIXED TENURE, OWN FUNDING, REMOVAL FOR CAUSE, TECHNICAL COMPOSITION · NO INDIAN REGULATOR SITS AT EITHER EXTREME; THE STATUTE · COMPARE THE FORMAL GRANT WITH THE WORKING REALITY FOR

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
LOW END → a ministry-controlled department: strong political control, weak insulation	REALITY → no Indian regulator sits at either extreme; the statute fixes the placement	LOW END → a ministry-controlled department: strong political control, weak insulation
HIGH END → fixed tenure, own funding, removal for cause, technical composition	WEDGE → compare the formal grant with the working reality for the same body	HIGH END → fixed tenure, own funding, removal for cause, technical composition

CORE CLAIM

- LOW END → a ministry-controlled department: strong political control, weak insulation
- HIGH END → fixed tenure, own funding, removal for cause, technical composition

MECHANISM

- REALITY → no Indian regulator sits at either extreme; the statute fixes the placement
- WEDGE → compare the formal grant with the working reality for the same body

CONSEQUENCE / LIMIT

- LOW END → a ministry-controlled department: strong political control, weak insulation
- HIGH END → fixed tenure, own funding, removal for cause, technical composition

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE → compare the formal grant with the working reality for the same body.

03

STAGE 03 HOW CAPTURE HAPPENS LAWFULLY

HOW CAPTURE HAPPENS LAWFULLY · INFORMATION ASYMMETRY · THE INDUSTRY KNOWS THE SECTOR BETTER THAN THE REGULATOR · DEPENDENCE ON INDUSTRY DATA, EXPERTISE AND PERSONNEL BECOMES STRUCTURAL · REVOLVING DOOR, FUNDED RESEARCH AND REPEAT-PLAYER ACCESS SHAPE THE · FRAMING CAPTURE · THE REGULATOR ADOPTS THE INDUSTRY'S DEFINITION OF THE PROBLEM · ENTRY BARRIERS DESCRIBED AS QUALITY STANDARDS; NO ILLEGALITY IS

INFORMATION ASYMMETRY → the industry knows the sector better than the regulator → **dependence on industry data, expertise and personnel becomes structural** → **revolving door, funded research and repeat-player access shape the agenda** → **framing capture: the regulator adopts the industry's definition of the problem** → **outcome: entry barriers described as quality standards; no illegality is needed**

CORE CLAIM

- INFORMATION ASYMMETRY → the industry knows the sector better than the regulator
- dependence on industry data, expertise and personnel becomes structural

MECHANISM

- revolving door, funded research and repeat-player access shape the agenda
- framing capture: the regulator adopts the industry's definition of the problem

CONSEQUENCE / LIMIT

- outcome: entry barriers described as quality standards; no illegality is needed
- INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: outcome: entry barriers described as quality standards; no illegality is needed.

04

STAGE 04 TWO DIRECTIONS OF FAILURE

TWO DIRECTIONS OF FAILURE · INDUSTRY CAPTURE · RULES THAT SERVE INCUMBENTS AND EXCLUDE ENTRANTS · MINISTERIAL CAPTURE · POLITICALLY TIMED DECISIONS AND SUPPRESSED TARIFFS · SHARED CORRECTIVE · CONSULTATION WITH PUBLISHED RESPONSES AND REASONED ORDERS · COOLING-OFF PERIODS, IN-HOUSE CAPACITY, USER REPRESENTATION

CORE CLAIM

- INDUSTRY CAPTURE → rules that serve incumbents and exclude entrants
- MINISTERIAL CAPTURE → politically timed decisions and suppressed tariffs

MECHANISM

- SHARED CORRECTIVE → consultation with published responses and reasoned orders
- SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation

CONSEQUENCE / LIMIT

- INDUSTRY CAPTURE → rules that serve incumbents and exclude entrants
- MINISTERIAL CAPTURE → politically timed decisions and suppressed tariffs

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation.

05

STAGE 05 SIX-TEST DESIGN CHECKLIST

SIX-TEST DESIGN CHECKLIST · 1 STATUTORY MANDATE · WHAT EXACTLY IS IT EMPOWERED TO DO, AND BY · 2 APPOINTMENT AND REMOVAL · WHO SELECTS, ON WHAT CRITERIA, CAN REMOVAL BE ARBITRARY · 3 FUNDING · DOES THE MONEY COME FROM A SOURCE THE MINISTRY · 4 RULE-MAKING ·

1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act

2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary → **3 FUNDING → does the money come from a source the ministry or the industry** → **4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal**

CORE CLAIM

- 1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act
- 2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary

MECHANISM

- 3 FUNDING → does the money come from a source the ministry or the industry controls
- 4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal

CONSEQUENCE / LIMIT

- 5 ENFORCEMENT DUE PROCESS → notice, hearing, reasoned order, proportionality, no bias
- 6 REVIEW AND REPORTING → appellate route and reporting to the legislature

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal.

06

STAGE 06 COMPETITION REGULATOR CARD

COMPETITION REGULATOR CARD · PARENT STATUTE · THE COMPETITION ACT, 2002 · ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANCE, REVIEW OF COMBINATIONS · NATIONAL COMPANY LAW APPELLATE TRIBUNAL, THEN THE SUPREME COURT · OFFICIAL PURPOSE · AN ENABLING COMPETITION CULTURE, CONSUMER WELFARE, ECONOMIC GROWTH · NO CASE, PARTY, PENALTY AMOUNT OR ORDER DATE IS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
PARENT STATUTE → the Competition Act, 2002	APPEAL → National Company Law Appellate Tribunal, then the Supreme Court	BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations	OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth	PARENT STATUTE → the Competition Act, 2002

CORE CLAIM

- PARENT STATUTE → the Competition Act, 2002
- FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

MECHANISM

- APPEAL → National Company Law Appellate Tribunal, then the Supreme Court
- OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CONSEQUENCE / LIMIT

- BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
- PARENT STATUTE → the Competition Act, 2002

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY → no case, party, penalty amount or order date is asserted anywhere.

07

STAGE 07 DOMINANCE AGAINST ABUSE

DOMINANCE AGAINST ABUSE · HOLDING A DOMINANT POSITION IN A DEFINED RELEVANT MARKET · PREDATORY OR UNFAIR PRICING; UNFAIR OR DISCRIMINATORY CONDITIONS · LIMITING PRODUCTION OR TECHNICAL DEVELOPMENT; DENIAL OF MARKET ACCESS · TYING AND BUNDLING; LEVERAGING DOMINANCE INTO AN ADJACENT MARKET

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
LAWFUL → holding a dominant position in a defined relevant market	UNLAWFUL → limiting production or technical development; denial of market access	LAWFUL → holding a dominant position in a defined relevant market
UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions	UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market	UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

CORE CLAIM

- LAWFUL → holding a dominant position in a defined relevant market
- UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

MECHANISM

- UNLAWFUL → limiting production or technical development; denial of market access
- UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market

CONSEQUENCE / LIMIT

- LAWFUL → holding a dominant position in a defined relevant market
- UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market.

08

STAGE 08 TWO REGULATORY CLOCKS

TWO REGULATORY CLOCKS · SECTOR REGULATOR · LICENCES, TARIFFS, TECHNICAL STANDARDS, ENTRY CONDITIONS · COMPETITION REGULATOR · CONDUCT ACROSS THE WHOLE ECONOMY AFTER THE EVENT · A GENUINE JURISDICTIONAL QUESTION, NOT AN OVERSIGHT IN THE · REMEDIES ARRIVE AFTER THE MARKET STRUCTURE HAS ALREADY SHIFTED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions	OVERLAP → a genuine jurisdictional question, not an oversight in the design	SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event	LIMIT → remedies arrive after the market structure has already shifted	COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

CORE CLAIM

- SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
- COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

MECHANISM

- OVERLAP → a genuine jurisdictional question, not an oversight in the design
- LIMIT → remedies arrive after the market structure has already shifted

CONSEQUENCE / LIMIT

- SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
- COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → remedies arrive after the market structure has already shifted.

09

STAGE 09 TRIBUNAL REFORM TIMELINE

TRIBUNAL REFORM TIMELINE · THE TRIBUNALS REFORMS ACT ABOLISHES NAMED APPELLATE BODIES, FUNCTIONS · 19 NOVEMBER 2025 · 2025 INSC 1330 INVALIDATES FOUR HEADS OF RE-ENACTED PROVISIONS · SAME JUDGMENT · EARLIER MADRAS BAR ASSOCIATION STANDARDS MADE CONTROLLING · A NATIONAL TRIBUNALS COMMISSION DIRECTED WITHIN FOUR MONTHS · 9 MARCH 2026

2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts → **19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions** → **SAME JUDGMENT → earlier Madras Bar Association standards made controlling** → **SAME JUDGMENT → a National Tribunals Commission directed within four months** → **9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026**

CORE CLAIM

- 2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts
- 19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions
- SAME JUDGMENT → earlier Madras Bar Association standards made controlling

MECHANISM

- SAME JUDGMENT → a National Tribunals Commission directed within four months
- 9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026
- 13 AUGUST 2026 → no establishment notification located; implementation unresolved

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Independence is protection from improper direction, not immunity from...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Independence is protection from improper direction, not immunity from.

10

STAGE 10 ARCHITECTURE PROPOSAL AGAINST ADOPTION

ARCHITECTURE PROPOSAL AGAINST ADOPTION · A UNIFIED FINANCIAL AGENCY ON A REGULATION-BY-ACTIVITY PRINCIPLE, 2013 · SUBSUMING MOST FINANCIAL REGULATORS, EXCLUDING THE CENTRAL BANK · SEPARATE PROPOSAL · A DRAFT INDIAN FINANCIAL CODE CONSOLIDATING THE LEGISLATION · NEITHER IMPLEMENTED IN FULL; A 2015 MERGER IS A · EVIDENCE LIMIT · USE RBI, SEBI, TRAI, CERC AND CCI ONLY WITH

PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013 → **SCOPE → subsuming most financial regulators, excluding the central bank** → **SEPARATE PROPOSAL → a draft Indian Financial Code consolidating the legislation** → **OUTCOME → neither implemented in full; a 2015 merger is a partial related step only** → **EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use RBI, SEBI, TRAI, CERC and CCI only with**

CORE CLAIM

- PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013
- SCOPE → subsuming most financial regulators, excluding the central bank

MECHANISM

- SEPARATE PROPOSAL → a draft Indian Financial Code consolidating the legislation
- OUTCOME → neither implemented in full; a 2015 merger is a partial related step only

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use RBI, SEBI, TRAI, CERC and CCI only with...
- PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use RBI, SEBI, TRAI, CERC and CCI only with.

11

STAGE 11 ANSWER SPINE FOR A REGULATORY DEMAND

ANSWER SPINE FOR A REGULATORY DEMAND · STATUTORY CHARACTER FIRST · STATUTORY, NOT CONSTITUTIONAL, NOT EXECUTIVE-CREATED · MANDATE, FUNCTION AND APPELLATE ROUTE, THEN THE TRILEMMA AND · APPLY THE SIX TESTS AND NAME BOTH DIRECTIONS OF · GRADED VERDICT, DATED STATUS FOR ANYTHING UNRESOLVED, STATED QUESTION

OPEN → statutory character first: statutory, not constitutional, not executive-created → **BUILD → mandate, function and appellate route, then the trilemma and capture mechanism** → **CORRECT → apply the six tests and name both directions of capture with correctives** → **CLOSE → graded verdict, dated status for anything unresolved, stated question ownership**

CORE CLAIM

- OPEN → statutory character first: statutory, not constitutional, not executive-created
- BUILD → mandate, function and appellate route, then the trilemma and capture mechanism

MECHANISM

- CORRECT → apply the six tests and name both directions of capture with correctives
- CLOSE → graded verdict, dated status for anything unresolved, stated question ownership

CONSEQUENCE / LIMIT

- OPEN → statutory character first: statutory, not constitutional, not executive-created
- BUILD → mandate, function and appellate route, then the trilemma and capture mechanism

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict, dated status for anything unresolved, stated question ownership.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · THE 2025 PYQ'S FRAMING ("ASSESS THE IMPACT") INVITES AN · FSLRC'S UNIMPLEMENTED UNIFIED FINANCIAL AGENCY PROPOSAL AND THE SECOND · SEARCH-CUM-SELECTION COMMITTEES REDUCE BUT DO NOT ELIMINATE EXECUTIVE INFLUENCE · THE TRIBUNALS REFORMS ACT, 2021 AS ENACTED PRESCRIBED A · FSLRC (2013) ADDITIONALLY PROPOSED A DRAFT INDIAN FINANCIAL CODE · INDIVIDUAL SECTORAL REGULATORS (RBI, SEBI, TRAI, CCI, ETC.) HAVE · RBI'S RELATIVELY STRONG DE FACTO INDEPENDENCE (OWN FUNDING THROUGH

OPTIONAL SOURCE DEPTH

- CAUTION: The 2025 PYQ's framing ("assess the impact") invites an explicitly two-sided answer.
- CAUTION: FSLRC's unimplemented Unified Financial Agency proposal and the Second ARC's selective
- CAUTION: Search-cum-selection committees reduce but do not eliminate executive influence over
- The Tribunals Reforms Act, 2021 as enacted prescribed a fifty-year minimum age for

ADVANCED DEBATE

- FSLRC (2013) additionally proposed a draft Indian Financial Code intended to
- CAUTION: Individual sectoral regulators (RBI, SEBI, TRAI, CCI, etc.) have each undergone their
- CAUTION: RBI's relatively strong de facto independence (own funding through seigniorage/
- CAUTION: Boundary case: a tribunal whose function was abolished under the 2021 Act and

LEGACY / NUANCE

- CAUTION: The 2015 FMC–SEBI merger, often cited as influenced by FSLRC's direction, illustrates
- CAUTION: Greater regulatory independence reduces short-term political interference risk but can
- CAUTION: Reducing the number of tribunals (2021 Act) lowers appointment-delay and duplication
- CAUTION: FSLRC-style comprehensive unification could reduce regulatory arbitrage but risks

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels